Article | 16 June 2026

HEALTHCARE

How technology could cut millions of hospital visits across Europe

Remote care offers European hospitals a rare combination: fewer avoidable visits, better care and more capacity in a tight labour market. As staff shortages intensify and demand keeps growing, the technology is becoming a critical solution to mounting pressures

Remote monitoring is gaining ground as technology improves, with devices that measure weight, heart rhythm, blood pressure, blood glucose levels and more

Remote healthcare: at a glance

- Amid severe staff shortages in the healthcare sector across Europe, remote care can ease the pressure on hospitals.
- Remote monitoring is gaining ground as technology improves, with devices and wearables that measure weight, heart rhythm, blood pressure, blood glucose levels, oxygen saturation and lung function.
- Evidence shows that remote patient monitoring has more benefits than drawbacks: improved patient mobility, lower hospital admissions and shorter hospital stays.
- We estimate that roughly 50% of hospital care is suitable for hybrid care using

some form of remote patient monitoring.
- That means millions of hospital visits could be avoided across the EU with the adoption of remote healthcare.
- But broad scale-up in Europe is slow, and the four largest EU countries are falling short.
- Policymakers can accelerate scale-up through three levers.

Healthcare providers under pressure

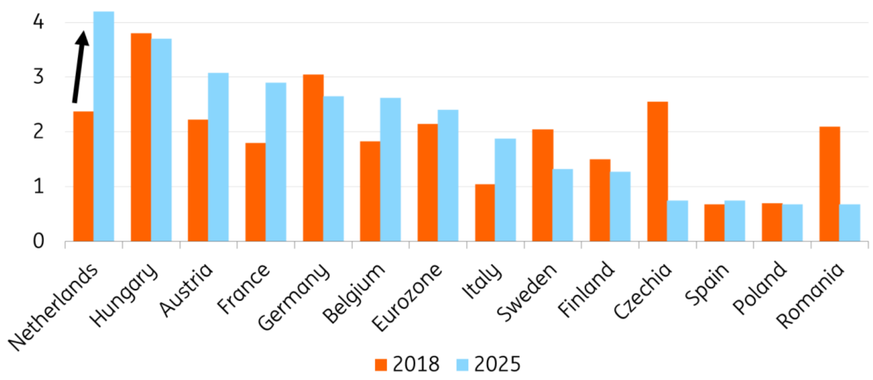
More people are working in healthcare in the EU than ever before, yet staff shortages continue to worsen. An ageing workforce is a major factor, compounded by heavy workloads that drive higher sickness absence and staff turnover.

The WHO expects the staffing gap to more than double over the next 15 years, exceeding 4 million workers by 2030. At the same time, demand for care is rising as populations age and chronic conditions become more prevalent, while expectations around quality continue to increase.

Against this backdrop, technology that can ease the pressure on healthcare providers is becoming an absolute necessity.

Healthcare staff are increasingly difficult to find in Western Europe

Average vacancy rate in the healthcare sector (number of vacancies per 100 jobs)



Source: Eurostat

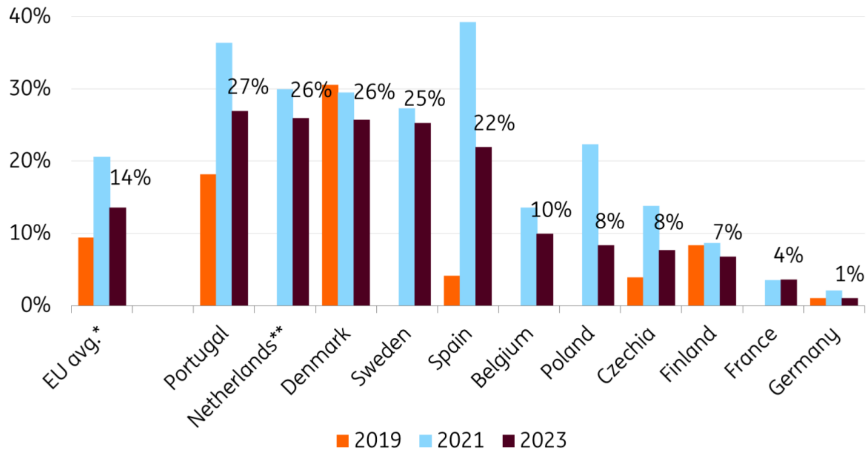
Covid-19 accelerated the use of digital care

Digital technology makes healthcare less dependent on location, a shift that accelerated during the Covid‑19 pandemic. As waiting rooms emptied, doctors quickly switched to phone calls, video consultations and email. While teleconsultations have declined since then, they still accounted for an average of 14% of all consultations in 2023 – well above pre‑pandemic levels.

That said, adoption varies widely across Europe: 22-27% of consultations are remote in countries such as Portugal, the Netherlands, Denmark, Sweden and Spain, compared with just 4% in Germany and 1% in France.

More teleconsultations than before the pandemic

Share of teleconsultations in the total number of medical consultations



Source: Eurostat

*Approximate EU average based on available country data; **Netherlands based on DHD, Nov. '25

Remote monitoring offers major benefits for patients and hospitals

Modern technology has made it possible to both consult patients remotely and to treat them outside the hospital. Through remote patient monitoring – also known as remote monitoring or remote patient management – hospitals can offer patients more comfort and convenience, while reducing stress, travel time and travel costs. This can be particularly valuable for people with limited mobility or patients who live far from a hospital.

Continuous monitoring by patients or community nurses enables doctors to make better‑informed decisions and respond more quickly when conditions worsen. Involving patients more actively can also boost their engagement.

For hospitals, the key gains are reduced pressure on staff and more effective care. By limiting visits to cases where measurements or symptoms warrant it, both consultations and admissions per patient fall. This allows remote patient monitoring to boost capacity and treat more patients. Meanwhile, the expanding stream of data offers a rich source for analytics and research, supporting better‑targeted care.

Remote monitoring is gaining ground as technology improves

Remote monitoring is gaining ground thanks to improvements in measuring devices and internet connections, as well as growing acceptance of digital care solutions among patients and hospitals.

Healthcare providers use mobile devices and digital platforms to carry out medical tests manually or automatically, wherever the patient is. Depending on the treatment, patients use one or more devices at home to regularly measure specific health indicators and share them with their doctor or nurse through medical apps. This may include devices or wearables that measure weight, heart rhythm, blood pressure, blood glucose levels, oxygen saturation or lung function.

The benefits increasingly outweigh the negatives

Scientific research, international case studies and our interviews with experts show that the benefits of remote patient monitoring increasingly outweigh the potential drawbacks, such as limited digital skills or difficulties in taking and recording measurements independently. Another barrier is the investment needed in devices, platforms, maintenance, training and changes to workflows and treatment pathways, while reimbursement for hybrid care using remote monitoring remains unclear or insufficient in many European countries to cover start-up costs.

An increasing number of benefits are strongly supported by scientific evidence. Review studies show that remote patient monitoring can improve patient safety and treatment adherence. It also has positive effects on patient mobility and the ability to perform daily activities. For healthcare providers, remote monitoring lowers hospital admissions and shortens the average length of stay.

Case studies also show improvements in patient satisfaction. A survey by the Dutch patients federation indicates that nine out of 10 Dutch patients are positive about it. An international study suggests that when patients in areas with limited healthcare provision can return home earlier thanks to remote monitoring, total healthcare and travel costs fall by around 27% on average.

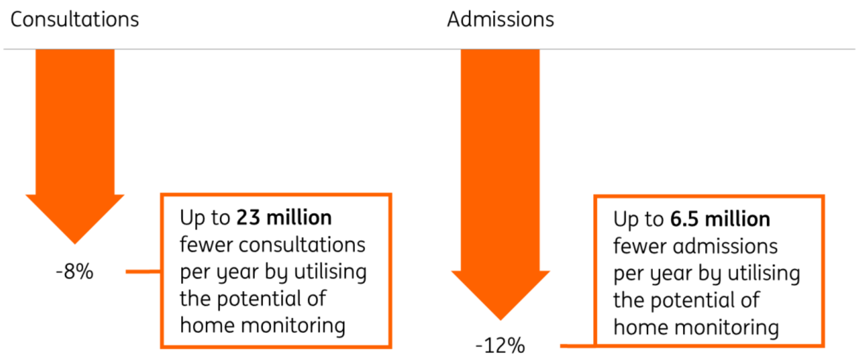
Millions of hospital visits could be avoided

Based partly on expert interviews, we estimate that roughly 50% of hospital care is suitable for hybrid care using some form of remote patient monitoring. This includes both long-term monitoring for chronic conditions such as COPD and diabetes, and short-term monitoring, for example after early discharge following a procedure.

We expect that around half of these patients would be able and willing to use it, meaning that about 25% of all hospital patients could be eligible for remote monitoring.

An analysis of 35 scientific studies shows that remote monitoring reduces hospital admissions by an average of 50% and consultations by 35%. If all eligible patients actually participate and new care pathways deliver similar average results, total hospital admissions could fall by more than 12% and consultations by more than 8% compared to a situation without remote monitoring. Across the EU, that would mean avoiding roughly 6.5 million admissions and 23 million consultations.

Substantial decrease in hospital visits upon utilisation of home monitoring potential



Source: ING Research

Remote monitoring can play an important role in prevention

To slow the growth in demand for care, prevention and effectiveness will need to play a bigger role in what hospitals provide. The focus is shifting from medical intervention itself to guiding people towards healthier lives. This means more accessible care facilities in local communities, closer cooperation with social organisations to address issues such as debt or addiction at an early stage, and giving patients a more active role through lifestyle interventions and by measuring and sharing health data themselves as part of their treatment.

Health promotion and disease prevention, like digital transformation, are part of the EU4Health programme launched after the Covid pandemic, which makes more than €5bn available to strengthen public health and healthcare in Europe between 2021 and 2027.

The US is the pioneer and frontrunner

Remote patient monitoring is currently most widely used in wealthy countries with large, sparsely populated areas. The US is the frontrunner. Well before the pandemic, virtual consultations, remote intensive care and care and monitoring at home already played an important role at major US healthcare providers such as Cleveland Clinic, Mayo Clinic, Kaiser Permanente and Mount Sinai Hospital.

Growth accelerated when Medicare started reimbursing remote monitoring for chronically ill patients in 2019. In 2022, this reimbursement was extended to monitoring recovery treatment at home, such as tracking home exercise programmes for musculoskeletal conditions.

As a result, telemedicine is increasingly becoming the norm in the US for rehabilitation and post-operative monitoring. The Peterson Center on Healthcare notes that spending under traditional Medicare on monitoring chronically ill patients has risen rapidly, from $6.8m in 2019 to $194.5m in 2023.

The UK and Scandinavia are furthest ahead in Europe

Remote patient monitoring is also gaining ground in Europe. By 2022, it was already being used in 39 of 51 European countries. Comparable data is limited, but the rollout has generally been slower than in the US and varies widely by country.

The UK was one of Europe's pioneers, with a large-scale and uniform approach. British virtual wards use remote monitoring, digital platforms and local medical teams to treat patients outside of hospital. This model was rolled out quickly during and after the Covid pandemic, supported by central funding. Since that specific national funding was discontinued, growth in the number of virtual wards and remotely monitored patients in the UK has stalled.

Scandinavia was also an early mover. The Danish government launched an action plan for the nationwide rollout of telemedicine as early as 2012. Since then, remote monitoring has become the standard care pathway for people with severe COPD, with expansion to other chronic conditions now underway. Finland, Norway and Sweden have also made significant progress in telemedicine and remote patient monitoring, especially in response to the pandemic.

Regional innovators can help accelerate scale-up

The Covid pandemic can be seen as an external shock that gave the adoption and scaling of remote patient monitoring a one-off boost, before momentum slowed again as conditions normalised.

But Europe still has ample room for regional innovators that can gradually inspire wider adoption. Charité in Berlin, the highly regarded and largest university medical centre in Europe, aims to conduct 50% of its consultations remotely by 2030.

NHS Greater Glasgow and Clyde is continuing to expand hospital-at-home care with advanced monitoring, treatment and multidisciplinary support at home.

Karolinska in Stockholm recently signed an eight-year contract with technology partners, including Philips, to provide remote monitoring and digitally connected care pathways for more than two million residents.

Although these initiatives remain fragmented, they can serve as examples and catalysts for further scale-up. The same applies to a large five-year European project launched in January 2026, which aims to improve the quality and scalability of remote monitoring.

Broad European scale-up is slow, and the four largest EU countries lag

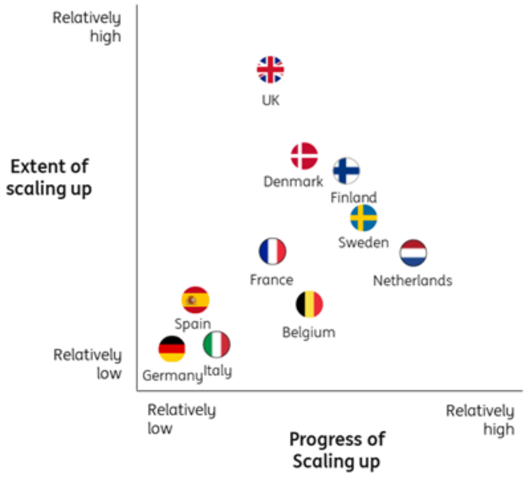
The four largest EU countries are not among the frontrunners. Germany has a strict separation in regulation and funding between hospital care and ambulatory care. Remote monitoring for heart failure is used on a limited scale, but for new areas of application it is still largely restricted to patients in care homes, while hospitals have to rely on funding from an innovation fund.

In France, following the successful ETAPES experiment, telemonitoring for several conditions is fully reimbursed by the national health insurance system. However, actual patient participation still appears to be rising only slowly.

Italy is also behind, but in 2023 it launched a large-scale digital care renewal programme using funding from the EU recovery fund. A national telemedicine platform now supports and coordinates a regional network offering various digital services, including remote monitoring. Spain has regional initiatives, but no national programme for remote monitoring yet; adoption depends on the priorities of local health authorities.

Home monitoring most advanced in UK & Scandinavia, fastest-growing in the Netherlands

Schematic overview of home monitoring development by country



Source: ING Research

Less centralised direction and financial support slow adoption and scale-up

Differences in adoption and scale-up between countries partly reflect differences in regulation and reimbursement for remote monitoring. Another decisive factor is the way healthcare systems are organised. Countries with one strong central delivery organisation, such as the UK, have more capacity to scale innovations. The same applies to countries with one strong regional provider and only a few delivery regions, such as Denmark.

The rest of Scandinavia, and especially France, Spain and Italy, have more fragmented healthcare systems with multiple regions and therefore relatively many regional delivery organisations. Central direction is weaker, making rapid scale-up more challenging.

Other systems also have more national or regional competition, including the Benelux countries, Germany, Czechia, Slovakia, Austria and Switzerland. In these systems, scale-up is often slower than desired, especially when financial incentives are limited. A 'not invented here' attitude often plays a role. Different scale-up initiatives can still lead to wider adoption, but usually in a more fragmented and slower way.

The Middle East and Asia are also gaining ground

Remote monitoring and wider digital care are also gaining traction outside Europe and

North America. South Africa's largest Health Maintenance Organisation, which combines health insurance and care provision, recently partnered with Dutch and Swedish e-health companies to strengthen its care-at-home services.

Countries such as China and India are increasingly using large telemedicine platforms that integrate remote monitoring, AI-supported care and virtual consultations to serve remote areas better and improve care outcomes.

The Middle East is also building on opportunities that became clearer during the COVID-19 pandemic. Israel is a frontrunner in digital care: its integrated HMO model, broad coverage of electronic patient records, innovative hospitals and local medtech companies all support innovation. Sheba Medical Center, Israel's first virtual hospital, offers patients hospital admission, rehabilitation programmes, cardiac rehabilitation and telemonitoring at home.

Another advanced example is SEHA Virtual Hospital in Riyadh, Saudi Arabia, known as the world's largest digital hospital. It provides primary and secondary digital care for more than 224 hospitals and facilitates more than 16 million virtual appointments a year. It also offers remote monitoring at scale and improves preventive interventions by using AI to create a digital twin – a virtual replica of a person's health that can predict potential health problems.

Dutch medical service centres are supporting scale-up

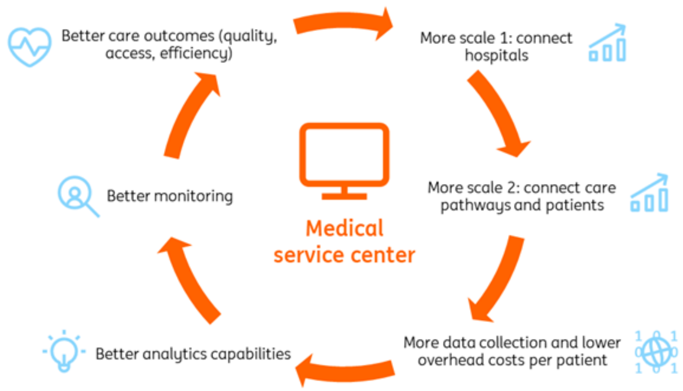
The Netherlands has made significant progress in remote patient monitoring in recent years, supported by five factors: broad experience built up over time, the scaling of national medical service centres, support from health insurers, relatively severe staff shortages, and more than €2bn in government funding for healthcare innovation linked to national implementation agreements.

This momentum has also accelerated the growth of nationwide medical service centres. These centres continuously monitor data and signals from patient apps used by affiliated healthcare providers and ensure patients can quickly be referred to the outpatient clinic of the relevant hospital when abnormalities occur.

'Zorg bij jou', a service centre set up by the eight top clinical Santeon hospitals, grew from virtually zero to 33,000 monitored patients in three years by the end of 2025. In 2026, it aims to grow further to 50,000 patients by connecting more hospitals and applying remote monitoring to more care pathways and to more patients within each pathway. This nationwide growth improves efficiency and quality, as fixed costs are spread across more participants and more monitoring data becomes available for research.

Success of medical service centre leads to accelerated scaling

Schematic scaling cycle for home monitoring via a shared medical service centre



Source: ING Research

A clear strategy and sufficient scale make expansion easier

Scaling remote monitoring within an organisation starts with a clear vision from hospital leadership. A clear plan for more hybrid care is needed to bring staff along. Sufficient financial strength and scale are also essential to carry the costs, make investments worthwhile and properly support staff. Given the relatively small size of many European hospitals, cooperation or mergers with other providers are often necessary.

Policymakers can accelerate scale-up through three levers

Labour shortages are not always enough to trigger timely action. Policymakers can accelerate scale-up through three routes: stronger central direction, supportive reimbursement and smooth data exchange.

1. Stronger central direction

Successful examples of rapid remote monitoring scale-up have one thing in common: some form of central direction. This does not necessarily have to come from a single national delivery organisation, as in the UK. It can also come through a national implementation agreement, with some large health insurers acting as drivers, as in the Netherlands. This can help enforce standardised guidelines for technology platforms and hybrid care pathways. The experience with British virtual wards points in the same direction. The Dutch medical service centre Zorg bij jou is therefore working on uniform hybrid care pathways and monitoring protocols to scale faster.

One way to strengthen central direction at the regional level is to allow more HMO-like structures, in which one organisation provides both insurance and care in a region. Such an organisation can steer care design and innovation scale-up more directly, especially when it also has a financial incentive to do so. Healthcare systems with one delivery organisation per region can also use more directive steering to encourage or enforce scale-up.

2. Supportive reimbursement
Remote monitoring temporarily requires higher spending on IT adjustments and digital platforms, and possibly investment in monitoring or measurement equipment. Changing workflows and training or recruiting staff also requires additional funding. This is a high barrier, especially because profit margins at European hospitals are generally limited, particularly among non-profit and public institutions. Another brake is the risk of lower care revenue if remote monitoring is not reimbursed and fewer hospital visits are not compensated. This matters less under fixed contracts with insurers, and where waiting lists are long, because freed-up capacity can then be used quickly.

If policymakers, delivery organisations or health insurers really want to scale remote monitoring, they need to address these negative incentives in reimbursement. This still happens too little. Funding is limited and reimbursement is fragmented: providers each have their own budgets, sometimes under different healthcare laws. This hampers cooperation and can create perverse incentives. Reimbursement for remote monitoring also does not always cover all costs, especially in the start-up phase when costs per patient are relatively high.

3. Smooth data exchange
Fast exchange of patient data between IT systems, applications and healthcare providers supports the scaling of remote monitoring. Because patients often see multiple providers and use different devices and apps, cooperation between hospitals, GPs and, for example, elderly care providers is needed to coordinate care and monitoring properly. An up-to-date and complete view of a person's medical situation and medication use is crucial for making the right decisions and interpreting monitoring data correctly.

Clear national agreements are needed to make this work. Medical data should be recorded as uniformly as possible and made available through one national platform, or a few interoperable regional platforms, that provide a complete patient view. Belgium, Estonia and Denmark have the most advanced data infrastructure, but many other EU countries still lag. Ireland, and also the Netherlands, still have considerable ground to cover, as shown by OECD figures and a study commissioned by the European Commission. Under the phased implementation of the EHDS regulation, EU citizens should have control over their digital health record by 2031 at the latest and be able to share it smoothly with healthcare providers both within and outside their own country.

Read the extended version of the report in Dutch *here*

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Article | 15 June 2026 UNITED KINGDOM

Iran deal takes Bank of England rate hike back off table

If the deal endures and oil starts flowing again, UK inflation would likely stay below 4% and enable the Bank of England to avoid a rate hike this summer. We expect a 7-2 vote in favour of no change this Thursday

The US-Iran deal has nudged the pendulum back towards a prolonged pause

A rate hike at this Thursday's Bank of England decision had already become highly unlikely. And thereafter, the US-Iran deal has nudged the pendulum back towards a prolonged pause. Markets now price just a 25% chance of a July hike and only one rate increase this year, down from a peak of three.

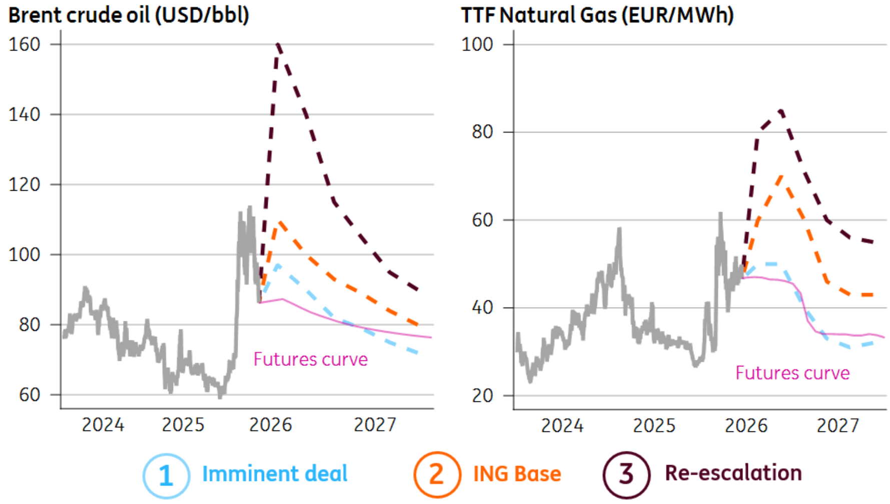
Our view has long been that the Bank is somewhere between doing nothing and hiking once – and 4% inflation is an important line in the sand. The Bank argued last summer that when it exceeds that level, it's more likely that inflation becomes more embedded and second-round effects more likely.

With energy prices where they are today, 4% inflation is unlikely. Natural gas futures for next winter and beyond are back to pre-war levels – and they play a big role in setting the quarterly household energy price cap. That cap is already set to rise 13% in July but if nothing changes, it's likely to fall 7% in October. That would keep UK inflation between 3-3.5% through the autumn/winter. The bar for a rate hike wouldn't be met. Remember, the Bank argues that simply not cutting rates, as was otherwise likely, amounts to a de facto tightening of policy.

That said, our commodities team sees a decent case for energy prices to move higher again – even if the deal agreed this weekend endures. Oil inventories will need rebuilding, while Europe still needs to replenish its gas storage, which sits well below the seasonal average – at a time when Asia will increasingly compete with Europe for LNG supplies.

Even in a scenario where the disruption in the Strait of Hormuz eases significantly through June, our team sees oil averaging $97/bbl in 3Q. Natural gas prices could inch a little higher, too.

ING's scenarios for global energy prices

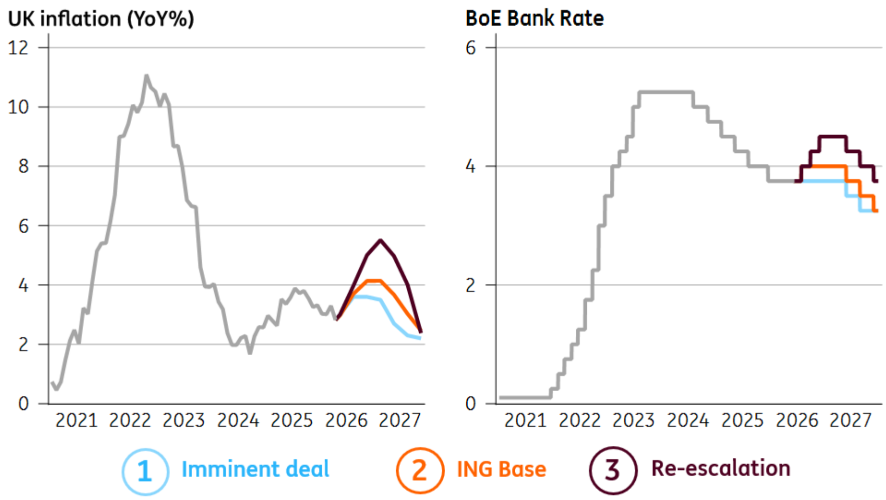


Source: Macrobond, ING

That still probably doesn't warrant rate hikes, though. Our forecasts show inflation would peak around 3.8% in that scenario. And importantly, a sustained reopening of the Strait of Hormuz would shift the balance of risks on inflation. The tail risk of a long, messy period of disruption would diminish.

The problem comes if the US-Iran deal unravels or fails to prevent another summer energy spike. In a scenario where the Strait of Hormuz stays disrupted through June and July, our team reckons oil briefly spikes to $120/bbl in July and natural gas prices surge. That would take inflation above 4% next winter and would make it very hard for the Bank not to hike this summer. That was loosely our global base case when we released our latest numbers last week – and it's why we tentatively added a July rate hike to our forecasts.

What ING's energy scenarios mean for the UK



Source: Macrobond, ING

All of that now looks less likely again, though time will tell. And as for this week's meeting, in the absence of either new forecasts or a press conference, the main question is how many officials join Chief Economist Huw Pill in voting for an immediate rate hike.

Here, we're likely to see a return to the old battle lines that existed on the committee before the war began. Back then, some officials – including Pill – argued that price setting behaviour had permanently shifted since the pandemic in a way that would keep inflation structurally higher. Megan Greene, who subscribes to that view, has all-but-said she'll vote for a hike this week. Catherine Mann, another long-time hawk, could join her. We're expecting a 7-2 vote in favour of no change this week.

But another four members – five if you include Governor Andrew Bailey, who sits somewhere between the two camps – argue that the risk of second round inflation effects have diminished since the last energy shock four years ago. And the latest data suggests they are right.

Headline inflation got pretty close to 4% last year on rising food prices. Yet the latest data shows minimal signs of that morphing into a more persistent bout of price pressure. The jobs market is still under pressure. And private-sector wage growth is likely to fall below 3% in the short-term, which is below the level the Bank said in February was consistent with a 2% inflation target over the medium-term.

That's ultimately why we expect a return to rate cuts in 2027 – something markets aren't currently pricing.

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Article | 12 June 2026 FX RATES UNITED STATES

Kevin Warsh navigates a hawkish Fed shift

Improved economic momentum and elevated inflation suggest the Federal Reserve will acknowledge the possibility of a future rate hike via new forecasts. New Chair Kevin Warsh isn't a fan of forward guidance though and will likely remain non-committal in his first press conference

We doubt that new Fed Chair Kevin Warsh will vote for a rate cut, despite Trump's demands for lower rates

Inflation and regained momentum swing hawkishly

Optimism is rising that we are inching closer to a deal to reopen the Strait of Hormuz, but even with a deal, global energy prices will likely remain elevated until at least early 2027. European and Asian inventory rebuilding will keep a strong bid in markets through the second half of the year. At the same time, uncertainty over the scale of damage to infrastructure in the region and the willingness of shipping companies to put their vessels back potentially into harms way, should the deal subsequently fail, limits supply. In consequence, we expect no real relief from higher prices this year.

The US economy is more insulated from Middle East risks than most countries due to its energy independence, but it is not immune. An abundance of natural gas and a lack of storage mean domestic prices have fallen, which is helpful for keeping utility bills in check. However, higher motor fuel costs are adding to cost pressures with spillover effects already in freight rates and airline fares, with inflation breaching a three-year high of 4.2%.

Amid rising inflation, business surveys point to 2-2.5% GDP growth, the economy is adding jobs and equity markets are at record highs. Understandably, market expectations of potential Federal Reserve rate hikes have increased, with a 25bp rate hike priced in this year and around a 50% chance of a second such move next year.

Unanimous vote for stable rates

In terms of Wednesday's FOMC meeting, we expect the Fed to leave monetary policy unchanged, but we do expect a statement that puts greater emphasis on the possibility of an interest rate rise. Remember that last time, Stephen Miran, who has since vacated his governor position for newly appointed Fed Chair Kevin Warsh, voted for a rate cut while three other FOMC members – Beth Hammack, Neel Kashkari and Lorie Logan – wanted the removal of the perceived "easing bias". The minutes to the meeting subsequently suggested more officials were uncomfortable with the language of the statement, and so we expect to see a unanimous vote in favour of keeping policy unchanged, but with a hawkish shift on language.

With Miran gone, we doubt that Kevin Warsh will choose to dissent against all the other 11 members by voting for a rate cut, despite his appointment as chair by a president who has demanded lower rates.

ING's expectations for the Federal Reserve's central projections

	2026	2027	2028	Longer run
Change in real GDP (4Q YoY%)	**2.0**	**2.4**	**2.1**	**2.0**
Previous Fed projection (Mar)	2.4	2.3	2.1	2.0
Unemployment rate (% year end)	**4.3**	**4.3**	**4.2**	**4.2**
Previous Fed projection (Mar)	4.4	4.3	4.2	4.2
Core PCE inflation (4Q YoY%)	**3.1**	**2.3**	**2.0**	-
Previous Fed projection (Mar)	2.7	2.2	2.0	-
Federal funds rate (year end)	**3.6**	**3.4**	**3.1**	**3.1**
Previous Fed projection (Mar)	3.4	3.1	3.1	3.1

Source: Federal Reserve, ING

In the press conference, he will likely acknowledge that economic conditions do not justify rate cuts at this time. Nonetheless, he could reiterate his view that, in time, tech investment will boost US productivity, meaning faster growth without generating inflation. That would imply a lower neutral interest rate that justifies lower policy rates over the medium to longer term. He has also argued that the Fed's balance sheet is too large. He would like to shrink it relative to the size of the economy, which would be a de-facto tightening that can be offset by lower policy rates.

Chair Warsh will also be questioned on updated Fed forecasts, which we expect to point to expectations of healthy growth and elevated inflation this year, with stable policy rates. But within the dot plot there may be more officials signalling that they think rates will be higher by the end of the year than there are those who think rates will be lower. However, Warsh has already suggested that the Fed talks too much and isn't a fan of forward guidance, so he will be keen to highlight that there are, in fact, two-sided risks and much can change between now and the end of the year.

An extended pause is our call

It is a very close call whether the Fed will hike rates this year, but on balance, we think it will instead choose to look through a near-term energy spike and hold rates steady for an extended period. The low-hire, low-fire economy means weak wage growth, with real household disposable income having fallen for three consecutive months. Consequently, elevated energy costs risk demand destruction that should help to dampen core inflation in time. Consumer and market inflation expectations remain in tolerable ranges and slowing housing rents, weak wage growth, a waning influence from tariffs and eventual energy price falls mean that inflation could undershoot the target in the second half of 2027. This environment should give the Fed room to resume moving policy rates back to neutral next year.

Now's the chance for Chair Warsh to walk the talk on balance sheet reduction

This is one meeting where the focus could well be on balance sheet and liquidity management. Kevin Warsh came into the job in the wake of various suggestions that the Fed should reduce the size of its balance sheet. We covered the issue here, and noted that at the end of 2005, the Fed's balance sheet was about 5.5% of GDP. Roll on 20 years, in and out of the global financial crisis and pandemic, and it's now 21% of GDP (quadruple). The driver was bond buying. Total bonds held by the Fed were around 5.5% of GDP 20 years ago. That now equates to 20% of GDP (almost quadruple). Bank reserves were purely regulatory in nature and a puny 0.1% of GDP 20 years ago. Today's bank reserves are closer to 10% of GDP (100-fold).

Kevin Warsh wants to 'fix it', it seems. The technicalities could require the sale of all mortgage-backed bonds (US$2tr) and at least half of the Treasury bonds (c.US$2.5tr). So that's some US$4.5tr in total, and would bring Fed bond holdings back down to around 5.5% of GDP (pre-GFC proportions). That in itself is big, and raises questions about a doable pace. On the other side of the balance sheet there is the complication of transitioning from the current excess bank reserves environment back potentially towards a scarce regulatory bank reserves environment. On the former, a Congress-legislated special purpose vehicle tasked with taking the bonds off the Fed's balance sheet has been mooted (so they would not be "sold"). On the latter, an easing in bank liquidity ratios would be required.

For now, it's all quite speculative. But what we do know is Kevin Warsh can't simply sell bonds and stop there. He would need to address both sides of the balance sheet, and make regulatory changes to bank liquidity requirements. This is the kind of meeting from which we could well learn more about all of the above.

Dollar can hold gains

The FX market goes into this FOMC meeting in a mildly dollar-bullish frame of mind. In fact, it was the last FOMC meeting in late April and the dissent against the easing bias which laid the foundations for the dollar rally on better US data over the last six weeks.

A removal of the easing bias in Wednesday's statement is widely expected and, as usual, the market will probably react to the median expectation for the policy rate over coming years. This presumably could present some upside risks to the dollar.

When it comes to the press conference, it is probably too early to expect Chair Warsh to push back against market expectations of Fed tightening. After all, the economy and asset markets are already performing well in the face of this energy shock.

Our FX bias would be for the dollar to stay bid against the relative low yielders and whose central banks are trying to look through the inflation shock. Depending on what is happening to energy prices and the risk environment, pairs like USD/CAD and USD/SEK could stay bid, while GBP/USD could stay offered. EUR/USD may well press 1.15 again, but the prospect of another European Central Bank rate hike in July should provide some insulation.

Wednesday's FOMC will come a day after the Bank of Japan meeting. A BoJ rate hike to 1.00% is widely expected, but deeply negative Japanese real rates leave the yen vulnerable. A slightly hawkish FOMC meeting could send USD/JPY well above 160 again and elicit more intervention. Japanese authorities are well aware, however, that intervention is just a containment exercise until energy prices come a lot lower, markets start to think about Fed easing again, and Japanese real rates are much closer to neutral. That looks like a story for the end of this year at the earliest.

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Article | 11 June 2026

Lagarde keeps the door open for further ECB rate hikes

European Central Bank President Christine Lagarde s comments at the press conference kept the door to further rate hikes open

ECB President Christine Lagarde at today's press conference in Frankfurt, Germany. A second rate hike after today's decision now appears more likely

The ECB has done it. Today, it became the first major central bank to increase interest rates as part of the fight against stagflationary pressures triggered by the war in the Middle East. It opted for a 25bp hike, bringing the deposit interest rate to 2.25%.

To be clear, this rate hike is more of a symbolic move to signal the ECB's willingness and determination to avoid being too late in carrying out its policy response. It's not a rate hike that will derail the eurozone economy, but a decision made with clear communication and reputation in mind; the risk of doing nothing and potentially falling behind the curve is larger than the risk of any adverse effects on growth from higher interest rates, as suggested by Chief Economist Philip Lane in a recent speech.

More stagflationary pressures in staff projections but no reason for aggressive hikes

During the press conference, ECB President Christine Lagarde mentioned the broadening of inflationary pressures and indirect effects as the main reason for today's rate hike. Still, we can't shake the idea that the ECB is actually fighting ghosts from the past – more specifically, its reaction that came far too late in responding to the inflation shock in 2021 and 2022. Remember that, at the time, the central bank lingered too long on the idea that an inflation surge driven by supply shocks was 'transitory' and could be looked through. If not for the experience of 2022, “transitory” could well be the label used today. So far, the increase in headline inflation has remained moderate. And while the knock-on effects of higher energy prices on other prices (e.g., transportation and food) will be hard to avoid, the latest survey-based inflation expectations have actually come down slightly.

This relatively well-behaved inflation trajectory is also reflected in the ECB’s latest staff projections. Headline inflation is expected to come in at 3.0% this year, 2.3% in 2027 and 2.0% in 2028, slightly up from the March projections. Similar to our own forecasts, ECB staff expect inflation to drop below 2% in the second half of 2027. The GDP growth forecasts come in at 0.8% in 2026, 1.2% in 2027 and 1.5% in 2028, slightly down for 2026 and 2027 compared with the March projections. However, these growth forecasts have not incorporated the recent downward revision of first-quarter growth, meaning that the risk to this growth outlook is even more tilted to the downside than the ECB currently thinks. Overall, this is not a forecast that immediately calls for aggressive rate hikes.

Were there any other signals during the press conference?

During the press conference, Lagarde refuted the phrase ‘insurance rate hike’, claiming that today’s move was nothing of the sort. She did so with almost the same verve with which she rejected the idea of ‘stagflationary pressures’ as well as the comparisons with 2022 at the April ECB meeting. On a more positive note, it seems as though someone, at least, follows our research. In all seriousness, the comment on the insurance rate hike suggests that today’s decision was not a ‘one and done’ hike but rather a shift of the ECB's starting position.

The warning that inflationary pressures were broadening, as well as the emphasis on broadening indirect effects from higher energy prices, suggest that today’s rate hike is not yet the end. However, at the risk of ending up on a blacklist at the ECB, what remains strange is the repetition of data dependency and a meeting-by-meeting approach in the context of the ECB's seemingly clear reaction function. Lagarde’s comments on the different macro scenarios added to the confusion, with the ECB President at one point even mentioning rate cuts. Maybe the best description of the central bank's reaction function is what Lagarde herself mentioned during the press conference: “It will be what it will be.”

All of this means that a second rate hike after today’s decision, either in July or September, has become more likely. Still, as long as the bond market is taking over the ECB's work to tighten the monetary policy stance, governments don't fuel an inflationary spiral with fiscal stimulus, and sentiment indicators remain weak, it’s hard to imagine that the ECB would really want to fight an exogenous supply shock with aggressive rate hikes at the cost of potentially worsening an economic downturn.

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Article | 17 June 2026 FX SWITZERLAND

Swiss National Bank preview: Little reason to move

The Swiss National Bank meets tomorrow and is expected to keep its policy rate unchanged at 0% amid subdued inflation

Martin Schlegel, Chairman of the SNB's Governing Board

Inflation remains under control

Rising energy prices have pushed inflation higher across much of the world, but Switzerland has been largely shielded from this trend. Headline inflation stood at 0.6% year-on-year in May, unchanged from April.

Energy prices have, of course, increased in Switzerland (+17.7% year-on-year for petroleum products) as they have elsewhere. Still, the strength of the Swiss franc continues to exert a significant disinflationary effect. Imported goods, which account for 22% of the consumer price index, rose by only 0.7% year-on-year in May. This marks a clear shift after three years of declining import prices, but it remains well within the SNB's comfort zone.

Domestic inflationary pressures are also contained, with prices rising by 0.6% year-on-year in May.

All in all, inflation in Switzerland has picked up from the 0.1% observed at the start of the year, but remains comfortably within the SNB's 0-2% target range. Early-year deflation fears have receded for now, while the risk of a sharp inflation increase in the coming months appears negligible. There is therefore little reason for the SNB to adjust interest rates at its June meeting.

Inflation outlook and FX interventions in focus

That said, two aspects will be closely watched tomorrow.

First, the SNB's medium-term inflation projections. In March, these stood at 0.5% on average for both 2026 and 2027, and 0.6% for 2028. A modest upward revision would carry limited implications for monetary policy. With inflation still firmly within the 0-2% target range, a rate hike remains unlikely in the foreseeable future.

Conversely, a downward revision could signal renewed concern about deflationary pressures once the impact of recent energy price increases fades. Even so, such adjustments would not justify a policy move this month. We expect rates to remain at 0% over the next two years.

Second, close attention will be paid to any comments on foreign exchange interventions. The Swiss franc has appreciated in effective terms over the past 12 months, although upward pressures have eased since early March, when the SNB explicitly indicated a greater willingness to intervene.

Importantly, in real effective terms, the franc has not become more expensive, thanks to lower inflation in Switzerland compared with its peers. This is the metric the SNB monitors most closely. With Swiss inflation set to remain persistently lower than elsewhere, concerns about excessive currency strength should remain contained.

Overall, the Swiss backdrop appears more favourable for the SNB in June than it did in March, and certainly more comfortable than for most other central banks. This should allow policymakers to remain firmly on hold. Any meaningful shift in tone would come as a surprise.

Charlotte de Montpellier

EUR/CHF: SNB would prefer higher levels

The exchange rate is an important monetary policy tool for a small, open economy such as Switzerland. And let's not forget that during Switzerland's last major inflation shock in 2022 and 2023, the SNB actively used a stronger Swiss franc to tighten policy. In fact, in the five quarters from the fourth quarter of 2022 to the end of 2023, the SNB sold CHF160bn of FX to drive franc strength and fight inflation.

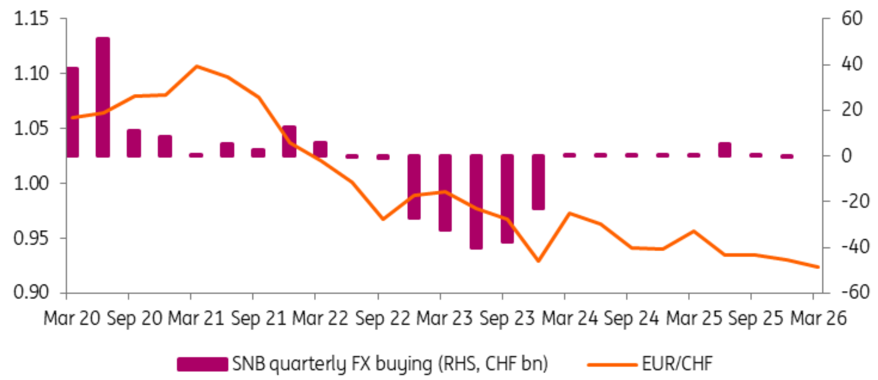
While other central banks have hiked or are considering hiking this year, Switzerland's starting point of low inflation means that the SNB is in no hurry to tighten or to start selling EUR/CHF again. Indeed, its current position is to show a greater willingness to intervene to curb further franc gains. 30 June will see the central bank release figures of FX intervention for the first quarter, where FX buying could exceed the CHF5bn undertaken in the second quarter of 2025.

Yet the SNB has also been sounding relaxed around the exchange rate, citing lower Swiss inflation relative to trading partners keeping the real Swiss franc level contained. While the nominal trade-weighted franc has risen 30% since 2020, the inflation-adjusted franc has only risen 6%.

Adding in the franc's status as a safe haven on geopolitics and a play on the dollar de-basement trade builds quite a mixed picture of the currency. Our baseline sees EUR/CHF continuing to trade around these 0.92 levels for a while with some upside risks over the summer if the European Central Bank does indeed hike in July or September. In terms of its short-term reaction to the SNB meeting, we doubt the SNB needs to sound hawkish and could see EUR/CHF edge a little higher if it pushes the message of a prolonged pause.

Chris Turner

SNB's FX intervention activity since 2020



Source: SNB, ING

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Article | 17 June 2026

RATES SPARK

Rates Spark: The unveiling of Warsh

We expect the tone to turn more hawkish during today s Fed meeting, but Chair Kevin Warsh might also want to push a relatively more dovish agenda. Any dovish comments are likely to remain at a very high level, however. We ll also be listening for any concrete steps to shrink the Fed balance sheet, which has the potential to steepen global yield curves

Fed Chair Warsh at his swearing-in ceremony in May 2026

Warsh has many unanswered questions outstanding

Kevin Warsh will make his entrée at today's Fed meeting, which means we might get a better feel about how he intends to follow up on his policy ambitions. No change in the policy rate (3.50% to 3.75% range) is expected, but the press conference could offer interesting sound bites for markets to potentially rethink the future policy stance. Whilst the statement should turn more hawkish, Warsh may want to communicate his more dovish view, though probably not explicitly. He could, for example, reiterate his conviction about AI-related productivity growth, which would justify lower policy rates further in the future. Overall, such comments are likely to stay at a high level as he's also not a fan of forward guidance.

Markets may also be surprised by a rethink of the Fed's balance sheet, which Warsh would be keen to reduce significantly. We're still in the dark about how to achieve this. The Fed's balance sheet is now some 20% of GDP. 'Fixing' this could potentially require the sale of $2tr of mortgage-backed securities and at least half of the Treasury bonds (c.$2.5tr). Any hints about an accelerated path to unwinding the Fed's bond portfolio could have a material impact on global rates. In effect, the additional bond supply would push up the term premium, steepening the US Treasury curve. This, in turn, would spill over in the form of steeper curves in other markets.

The ECB is not pushing back against hawkish euro rates

Also, euro rates are recalibrating to a more hawkish central bank function. Despite oil dropping below $80 per barrel, markets are strongly holding on to at least one more European Central Bank rate hike. The hawkish sentiment is in line with recent ECB comments, which seem to embrace the view that more may need to be done to fight inflation.

And indeed we see that inflation swaps are coming down on the back of lower oil, but real rates have held their ground. We still struggle to see the ECB hike more than once from here because second-round effects should remain contained. At the same time, we won't push against market pricing for the time being. Markets (and the ECB) might need more inflation data before repricing the risk of second-round effects.

Wednesday's events and market views

Following the UK's CPI data in the European morning, the focus first turns to the ECB with appearances from Piero Cipollone, Gediminas Simkus and later Olaf Sleijpen. The ECB will also publish its wage tracker, while the eurozone will release the final inflation data for May.

The highlight of the day will be the FOMC meeting, headed for the first time by Kevin Warsh. While no change in rates is expected, markets will parse the new set of forecasts as well as the new Fed Chair's remarks about his vision for the Fed's policy regime going forward, given his criticism of forward guidance and the Fed's large balance sheet. US data to watch ahead of the meeting includes retail sales and pending home sales.

Primary markets will look to Germany, which taps two ultra-long bonds for €2.5bn. Italy continues the sale of its BTP Italia SI retail bonds, which so far have run up orders of €4.7bn.

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Article | 17 June 2026

FX

FX Daily: Kevin Warsh holds the keys to dollar resilience

Brent is holding below $80/bbl after details of the US-Iran deal emerged, adding a dovish argument ahead of the FOMC announcement today. We think new Chair Warsh will match the market s hawkish expectations, but risks are on the downside for the dollar, whose resilience now seems to rely solely on Fed hike bets. The Riksbank hold may still sound a bit dovish

New Fed Chair Kevin Warsh

USD: Downside risks, but we expect Warsh to deliver

Today's FOMC announcement is a key test of the dollar's recent resilience. With Brent trading below $80/bbl after details of the US-Iran peace deal emerged yesterday, the greenback is increasingly reliant on expectations of Fed tightening this year. It therefore needs confirmation that policymakers – and especially new Chair Kevin Warsh – are seriously open to hikes, even as rates are almost certain to stay on hold today.

If Warsh or the broader FOMC signal a stance that is clearly at odds with market pricing, the dollar would sell off sharply in our view. But in our Fed preview, we argued that removing the easing bias from the statement and a cut from the median 2026 dot plot could be enough to keep the dollar firm. That is our baseline call for today: the Fed validating market expectations, and a broadly neutral impact on the dollar.

At the same time, we admit the balance of risks does appear tilted to the downside for USD after the US-Iran deal announcement. Softer energy prices strengthen the case for a dovish repricing, while the swap curve has so far remained insensitive to improved Middle East sentiment and still prices 21bp of tightening by December.

Ultimately, the main dovish trigger may come from Warsh's communication rather than the statement itself. He probably has little incentive to intentionally surprise on the dovish side and risk upsetting the bond market at his first meeting, but markets may overinterpret any nuance in his remarks as signalling a future dovish tilt.

Francesco Pesole

EUR: Aiming for stabilisation

EUR/USD resurfaced above 1.160 yesterday but is clearly awaiting cues from the Fed to leap in either direction. As discussed above, our call is neutral on the dollar today and, by extension, on EUR/USD.

However, the inclusion of financial incentives for Iran in the peace deal (oil export resumption, economic development funds and asset unfreezing) does make the drop in oil prices look more sustainable, and therefore reduces downside risks for EUR/USD from here. We expect consolidation in the 1.160-1.1650 area for now.

One EUR-cross we are monitoring closely this week is EUR/GBP. That is trading slightly firmer this morning after May's UK inflation surprised slightly on the downside. Headline CPI was unchanged at 2.8% (consensus 3.0%) mainly due to muted food inflation and the core reading inched slightly higher to 2.6% (consensus 2.7%). Services CPI was, however, slightly hotter than expected at 3.7%. These figures don't change our call for a 7-2 hold vote by the Bank of England tomorrow.

Risks however remain on the upside for EUR/GBP as 30bp of BoE tightening in the curve appears too hawkish, and some political risk premium may re-emerge after tomorrow's by-election that is expected to pave the way for Andy Burnham to replace Keir Starmer as Prime Minister.

Francesco Pesole

SEK: Riksbank's hawkish room remains limited

The Riksbank announces monetary policy this morning at 0930 CET, and we expect a hold at 1.75%, in line with consensus and pricing. As discussed in our preview, policymakers might try to strike a more hawkish tone while maintaining a wait-and-see stance to keep 2H26 hike pricing broadly intact and anchor inflation expectations.

But markets may struggle to embrace a less accommodative narrative as new projections will, in our view, fail to show CPIF inflation peaking above target or signal a rate hike already in 2026. We therefore see a neutral to mildly negative impact on SEK today.

Still, the main driver of EUR/SEK has been crude, and we wouldn't expect the pair to trade back above 11.00 purely on the nominal rate differential story. We are mostly neutral on EUR/SEK this summer, with growth and rates differentials applying offsetting forces. We retain a preference for the downside into year-end, targeting 10.70.

Francesco Pesole

CEE: Market overshoots outpricing rate hikes

Rates tried to continue Monday's rally yesterday, however we saw some pushback from the market and a reversal from intraday lows. As we discussed here yesterday, especially in Poland, it seems the market has gone too far with the current pricing of only a 50% chance of a central bank rate hike in the one-year horizon. Although our economists expect rates unchanged as a baseline, we expect the market to want to keep some probability of rate hikes until we see more confirmation in the data.

PLN saw some rally after more positive global headlines and a drop in oil prices. On the other hand, the rate differential is increasingly pointing to a higher EUR/PLN somewhere around 4.260, the upper end of the current range.

In Hungary today, the wage figures will be released, one of the last numbers before the National Bank of Hungary meeting next week. The baseline remains a 25bp rate cut for us with little chance of seeing a bigger move. EUR/HUF is testing new lows below 350 which could be a trigger for the central bank to frontload easing.

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Article | 16 June 2026 FX SWEDEN

Riksbank preview: Low inflation limits hawkish scope

Sweden's central bank will struggle to replicate the ECB's hawkishness given stubbornly low inflation. We expect a hold on 17 June. While policymakers may try to keep markets leaning hawkish, inflation and rate projections could fall short of tightening expectations. We expect no hikes from the Riksbank this year, but EUR/SEK could still fall in 2H

Riksbank Governor Erik Thedeen

Markets are fully expecting a hold by the Riksbank on 17 June, and consensus is also unanimous. The question is whether policymakers will give any hints that justify the 23bp of tightening priced into the SEK curve by year-end. The determinants will be the tone of the statement, new rate projections and new inflation forecasts.

We see a greater risk that projections will fail to match hawkish pricing this week rather than exceed it. Still, policymakers should make sure to highlight inflation risks and their readiness to act in the statement; this could help limit any negative impact on the SEK on decision day.

Inflation too low to consider hikes

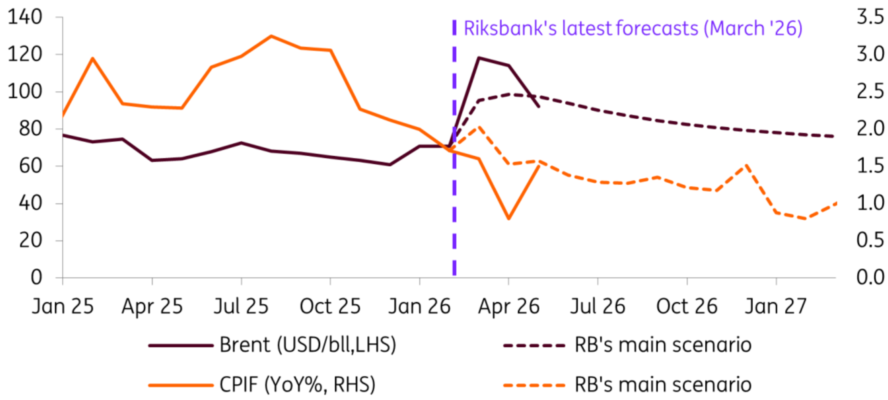
We don't see much room for the Riksbank to turn hawkish in the statement as both headline

(1.5%) and core (0.5%) CPIF inflation have remained very muted. We expect a reiteration of the wait-and-see approach on rates.

At the same time, we don't think there will be explicit pushback against rate hike expectations, and Governor Eric Thedeen will retain some optionality on a future rate increase. Similar to the European Central Bank, concerns are centred around the de-anchoring of inflation expectations. It therefore has an incentive to keep markets leaning hawkish, particularly given European leaders' words of caution over the timing of the Strait of Hormuz reopening.

Thedeen could also stress the currency factor again: since the ECB and other central banks are tightening, pressure on the krona may build and generate imported inflation.

Riksbank overestimated CPIF, despite higher oil prices



Source: ING, Riksbank, Refinitiv

No upward revisions in projections

We don't expect upward revisions in the central CPIF inflation forecast. March's projections overestimated CPIF for March and April despite oil prices being higher than the Riksbank had forecast. Accordingly, we expect roughly unchanged rate projections for 2026, signalling no hike.

We could see a small upward revision in 2027, with the first hike being brought forward to the first half of next year and introducing some probability of another hike in the second half.

Our calls for 2H26: No Riksbank hikes, EUR/SEK slow decline

Our view remains that the Riksbank won't hike rates this year. Our inflation estimates suggest CPIF will remain well below the 2% target, growth should soften below 2.0% year-on-year in the second half of 2026, and the September election also argues against bold hawkish moves. The trigger for a hike without an inflation jump could be a sharp weakening of the krona, which is not what we expect, especially considering the recent softening in oil prices.

We have revised EUR/SEK numbers slightly higher on policy divergence, but still target some depreciation in the second half, driven by Swedish growth outperformance relative to the eurozone and new flows of capital repatriation to Sweden. Our year-end target is 10.70.

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Article | 11 June 2026 REAL ESTATE BELGIUM

Airbnb only part of Belgium's housing affordability problem

Short term rentals via platforms such as Airbnb reduce available housing supply in Belgium, adding pressure to an already tight housing market – but this is only part of the story

Structural bottlenecks lie at the heart of housing affordability challenges in Belgium

Short-term rentals: a small but meaningful share of housing supply

Online booking platforms have surged in popularity among both travellers and hosts in recent years.

In 2024, around 1.23 million stays were booked via these platforms in Belgium, accounting for 12.3 million overnight stays. In 2025, the 10 million overnight stay threshold had already been surpassed in the first three quarters of the year.

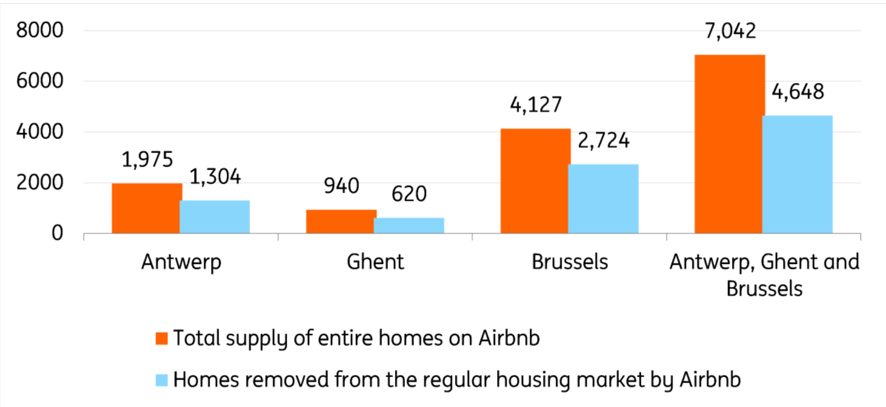
While this strong growth highlights the increasing importance of short-term rentals, it also has implications for the housing market, particularly in high-demand urban and tourist areas. At the same time, structurally higher interest rates and rising house prices have reduced housing affordability. The homeownership rate declined from 72.4% in 2022 to 70.9% in 2025, accompanied by a growing number of renters, further increasing pressure on rental markets.

Against this backdrop, we estimate the impact of short-term rentals via sites like Airbnb in regions where data on entire homes is available, namely the Brussels-Capital Region, Antwerp and Ghent. These areas are characterised by persistently tight housing markets and rank among the most expensive rental markets in Belgium.

Our estimates suggest that Airbnb removes around 3,000 homes from the regular housing supply in Brussels alone, with a further nearly 2,000 homes in Antwerp and Ghent combined. In total, this corresponds to roughly 0.8% of the rental housing stock being unavailable for permanent occupancy due to short-term rentals. This share is likely higher when accounting for other platforms such as Booking.com and Expedia.

While this confirms that short-term rentals contribute to housing market pressures, they remain only one part of the story and are not the main driver of housing affordability challenges in Belgium.

Airbnb is estimated to have removed nearly 5,000 homes from the regular housing market



Source: Inside Airbnb, BISA, own calculations ING

Structural bottlenecks lie at the heart of housing affordability challenges

While a legislative framework to regulate short-term rentals has been in place for some time in Belgium, its impact has been limited due to low compliance. The new European regulation that entered into force in May aims to address this by requiring platforms to share data. A key next step is the creation of a national registration system, which could bring an estimated 1,800 out of 4,650 homes back to the regular housing market.

However, this alone will not be sufficient to ease pressures on the Belgian rental market. Structural bottlenecks remain the main constraint:

- **Low construction activity:** Despite a slight uptick in early 2026, building permits remain at historically low levels.
- **Mismatch between supply and demand:** New construction is increasingly misaligned with demand. Apartment permits are declining (−8% YoY) despite rising demand for smaller units, while permits for single-family homes are increasing (+17% YoY), potentially widening the mismatch.
- **Rising construction and financing costs:** Higher energy prices, more expensive building materials, and elevated long-term interest rates are increasing costs for both developers and buyers, weighing on new construction. At the same time, construction sector bankruptcies rose again in early 2026 (+3.3% YoY), further slowing supply.
- **Regulatory framework and supply effects:** Housing regulation has tightened significantly in recent years. While stricter rules pursue legitimate objectives, they may have unintended consequences. Evidence shows that measures such as rent caps can reduce rental supply, dampen construction, and lower market turnover.

Addressing short-term rentals can therefore help alleviate part of the pressure, but its impact on overall housing affordability will remain limited. Improving affordability requires tackling these structural constraints. This involves, above all, ensuring that housing supply better reflects changing demand, including by encouraging the development of smaller units.

At the same time, a stable investment climate is needed to support construction and renovation, while new regulations on housing quality and energy performance should be designed to avoid further constraining supply.

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Article | 12 June 2026

COMMODITIES, FOOD & AGRI

What's next for US copper import tariffs

The US tariff decision on copper imports is weeks away, with the Commerce Secretary due to deliver a recommendation to President Donald Trump by 30 June. The market has already begun pricing the outcome. The COMEX-LME spread has widened to around $400/t, suggesting the market continues to price meaningful tariff risk into US-delivered refined copper

Supply tightness, US tariff-driven stockpiling and AI-linked power demand are supporting copper prices

Where we are now

LME copper is trading near record highs, with prices up around 10% year-to-date and holding up well against a difficult macro backdrop. Strong US jobs data has reinforced expectations that the Federal Reserve will keep policy restrictive for longer, while renewed tensions involving Iran have weighed on broader risk sentiment.

Supply tightness, US tariff-driven stockpiling and AI-linked power demand are keeping copper more resilient than the broader complex, with the tariff decision now only weeks away.

What the tariff decision looks like

When President Trump announced a 50% tariff on copper in July 2025, refined copper was carved out. That exemption is now under review. The Commerce Secretary has until 30 June to deliver an updated recommendation to Trump on whether and how to extend tariffs to refined copper. The original Commerce Department proposal called for a 15% tariff on refined copper imports effective January 2027, escalating to 30% in 2028.

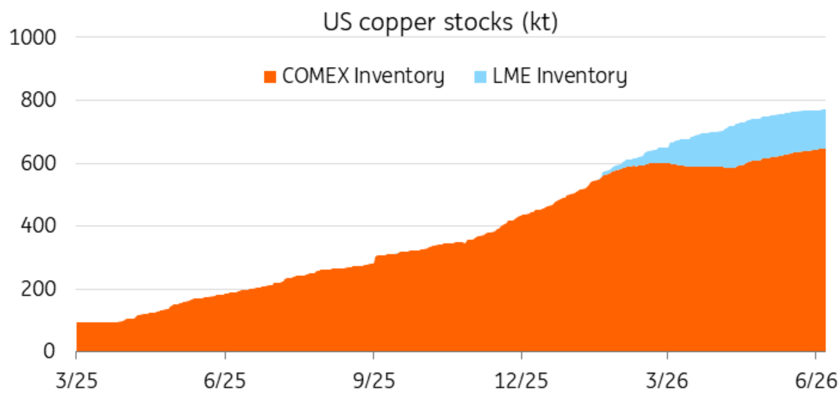
Earlier this month, Trump signed a proclamation adjusting the broader metals tariff framework – maintaining the 50% tariff on semi-finished copper products, lowering the domestic content threshold from 95% to 85% to qualify for preferential treatment, and broadening the scope to include additional semi-fabricated products such as electrical conductors and cables. New rates took effect 8 June. These changes are widely seen as preparatory steps ahead of the refined copper review, making it easier for importers to qualify for preferential treatment tied to domestically produced metal.

How the market has already repositioned

Since February, US copper imports have spiked in anticipation of the tariff deadline, encouraging additional shipments into the US and tightening supply in other regions.

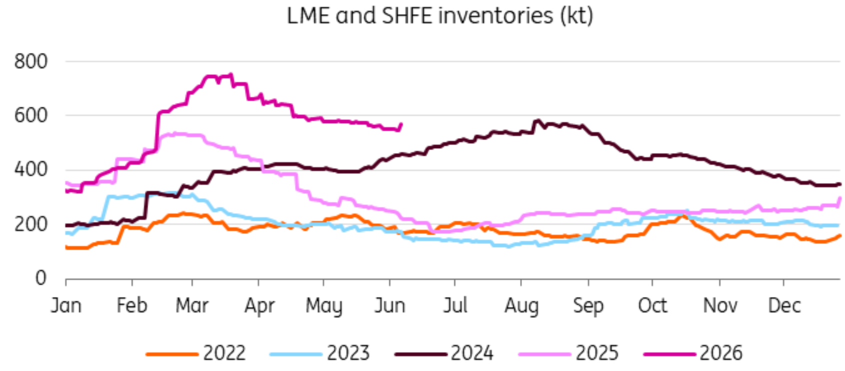
COMEX-registered inventories have risen to record highs. That build has come directly at the expense of LME and SHFE stocks, which have declined sharply over the same period.

COMEX stocks hit records, LME inventories also trend higher



Source: COMEX, LME, ING Research

Meanwhile ex-US inventories have declined sharply

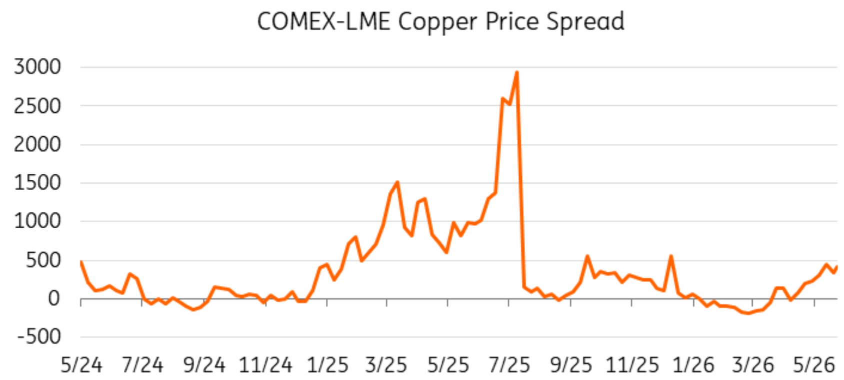


Source: LME, SHFE, ING Research

This is not a demand-driven inventory build. It reflects a geographic redistribution of available metal driven by tariff arbitrage. A significant volume of copper cathode is now economically 'locked' into the US market. While some of this metal could eventually be released if tariff expectations fade, the prospect of further trade policy measures means inventories are increasingly being held as strategic rather than 'arbitrageable'.

The COMEX-LME spread began re-widening from early 2026 as the 30 June deadline came into focus. It turned positive again in late March and has been climbing since, reaching around $400/t in early June. At current levels, the spread is well below the peak of around $2,937/t seen in late July 2025 when a 50% tariff on all copper was briefly feared. This suggests the market views a 15% phased tariff as a much more contained outcome.

COMEX-LME copper spread rewidens



Source: COMEX, LME, ING Research

What happens after the announcement

A confirmed 15% phased tariff from 1 January 2027 would likely increase the premium of COMEX over LME copper. In practice, both benchmarks would move higher. COMEX would be supported by stronger US import demand, while LME would also benefit as metal diverted away from the US tightens supply availability elsewhere.

The overall impact would be supportive for copper prices globally, although the larger move would likely occur in COMEX.

If the proposed increase to 30% in 2028 is brought forward or confirmed as a near-term policy objective, the premium could expand further.

A delay represents the clearest near-term downside risk for the spread, although the impact would likely be more limited than an outright rejection of tariffs. The arb would compress and the pace of inflows into COMEX would slow – but material already stockpiled in the US is unlikely to leave the market quickly. As long as tariff risks remain, a significant portion of those stocks is likely to remain effectively locked within the US market. The spread would narrow, but would probably settle at a structurally wider level than pre-2025 norms rather than collapsing back to parity.

An outright rejection of tariffs remains the most bearish case. US import demand would drop sharply, and with the stockpiling incentive removed, both benchmarks would likely come under pressure. US-held metal could then potentially re-enter the global market or at least stop being 'locked' in the US.

Supply outlook remains tight

We forecast the global copper market to move into a deficit of around 35kt in 2026, reflecting mine supply losses across Indonesia, Chile, the DRC and Zambia, alongside disruptions to Middle Eastern sulphur flows and sustained end-use demand in electrification and grid infrastructure. The tariff outcome does not change that underlying market balance. However, it will determine how quickly the deficit becomes visible in exchange inventory data and how the price gap between COMEX and LME evolves.

We see LME copper broadly supported at current levels through 2Q, before easing modestly into 3Q and 4Q as the initial tariff stockpiling impulse fades and macro headwinds persist. The tariff announcement itself represents near-term upside risk to our near-term forecast. A front-loaded 30% tariff would put further upside in play. Conversely, a delay or outright rejection of tariffs represents the clearest downside risk to our view over the second half of the year.

The 30 June deadline and the COMEX-LME spread are the two indicators to watch most closely over the coming weeks.

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